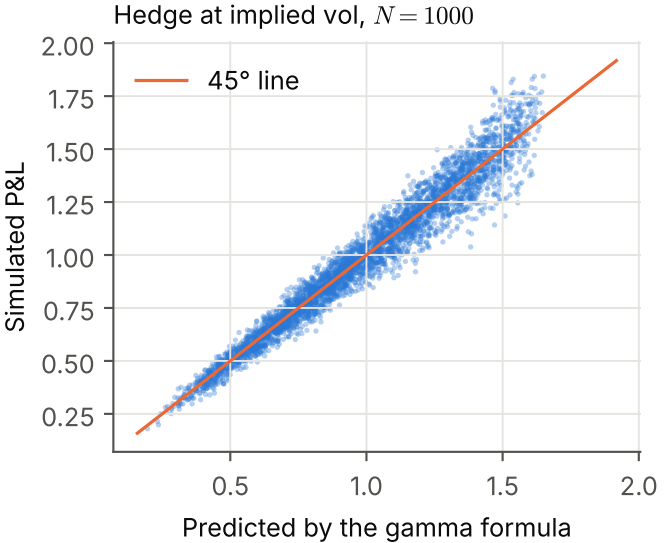
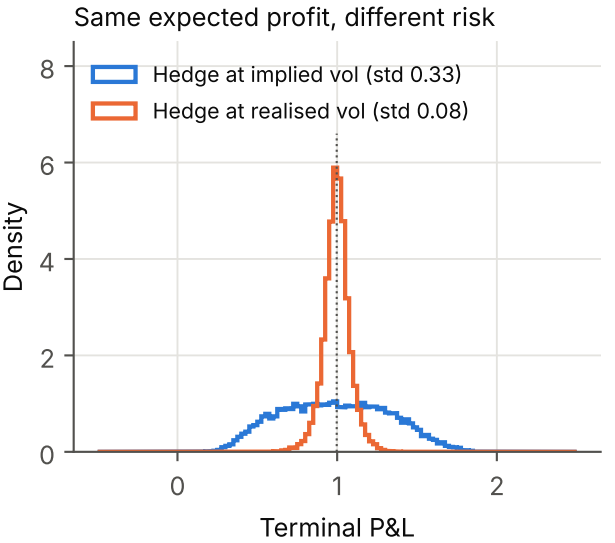

Hedge at implied vol, $N = 1000$
45° line
Simulated P&L
Predicted by the gamma formula
2.00
1.75
1.50
1.25
1.00
0.75
0.50
0.25
0.5
1.0
1.5
2.0


Same expected profit, different risk
Hedge at implied vol (std 0.33)
Hedge at realised vol (std 0.08)
Density
Terminal P&L
8
6
4
2
0
0
1
2